

dividends. A reporter who was also a stockholder attended the 1926 annual meeting. He and one other stockholder outside the management who took the trouble to attend were permitted to see a detailed balance sheet showing that over two-thirds of the accounts receivable item as of December 31, 1925, consisted of United States Treasury notes. Here was a stock genuinely undervalued, though the company's statements, so far as they were readily available, themselves suggested serious doubt as to the values behind it.

WHERE CYNICISM PAYS

Cynics are likely to have few friends, but the cynical attitude depicted in Rule No. 7 will save any trader many losses. Wall Street is thronged with credulous individuals who give ready ear to the wildest rumors. When a certain amusement stock doubled in price in the spring of 1930, earnings estimates 50% in excess of the rate shown in the official statement for the previous six months were glibly quoted on every hand. Following a decline equally spectacular in the following four months, board-room devotees were fully as ready to believe that the company was only one jump ahead of the sheriff.

Vanity plays a great part in the willingness with which traders fall victim to supposed "straight tips" regarding pool operations, mergers, discoveries of secret processes, impending financing and other business secrets. To be the recipient of such confidential information sets him apart from the ignorant herd in the average trader's own estimation. If, however, he will have the humility to believe that he may be the thousandth rather than the first or second to hear the bullish story, this lack of self-pride will probably be well rewarded.

There is one exception to the rule. It is likely that the unknown author of a bearish rumor heard in a strong market may be a genuine philanthropist. Such tips are rare, far